
FOINWI

Grow Beyond Numbers

GRATUITY CALCULATOR

CURRENT-RULE & PRODUCT ACCURACY RECORD

Internal Governance Record

Audit / Review Period	10 September 2026 (Phase 1 inventory; P1 implementation; labour-code correction and ceiling verification the same day)
Final Production Checkpoint	10 September 2026, 02:36:10 IST
Git Commit	6e70e58 6e70e58f5c7725c3412edbc5e0d6d1d30407984e
Commit Message	Correct gratuity calculator for current labour code
Branch	main

This document is an internal FOINWI governance and product-accuracy record. It is not marketing material, legal advice, a filing tool, or a certification. It does not claim that the calculator is legally certified, government approved, CA certified, regulator approved, or permanently accurate.

1. Purpose of Record

This internal record documents the completed FOINWI current-rule and product-accuracy review for this calculator only. It records calculator scope, the regulatory/current-rule review, formula review, assumptions, discrepancies discovered, corrections implemented, validation evidence, remaining limitations, authoritative sources used, and the Git production checkpoint.

- Record the scoped educational gratuity estimate for a monthly-rated employee in an ordinary retirement / resignation / superannuation scenario.
- Record that no standalone current-rule audit file was retained; Phase 1 inventory plus CTO-directed implementation and a later labour-code correction are the evidence.
- Distinguish the first Payment of Gratuity Act, 1972 positioning from the final Code on Social Security, 2020 positioning.
- Preserve the ceiling finding: Rs 20 lakh is used in the estimate and is NOT DEFINITELY VERIFIED as a fresh section 53(3) Gazette re-notification.

Original audit record not available in the current workspace.

2. Product Scope

What this calculator does

- Educational statutory estimate under the Code on Social Security, 2020, modelled as effective from 21 November 2025.
- Deterministic monthly-rated formula: last drawn statutory wages x 15 / 26 x qualifying years.
- Qualifying years = completed years + (additional months > 6 ? 1 : 0).
- Applies the ceiling used in this estimate of Rs 20,00,000 when the general five-year rule is met.
- Eligibility for the displayed amount uses completed years >= 5, not formula qualifying years.

What this calculator does not do

- Not a payroll wage reconstruction or continuous-service adjudicator (for example 240-day questions).
- Does not calculate death, disablement, seasonal, piece-rated, or fixed-term special paths.
- Does not model forfeiture, nomination/heir logic, or contract-enhanced gratuity as a separate engine.
- Does not describe Rs 20 lakh as the current notified ceiling under the Code.
- Not legal advice and not a guarantee of payable gratuity.

3. Pre-Correction State

Original audit record not available in the current workspace. Pre-correction facts are from the Phase 1 inventory and from the first P1 correction report (Payment of Gratuity Act, 1972 positioning).

- Phase 1 inventory: Gratuity cited an Act basis but did not apply the ceiling at high salaries - material risk at high wages.
- First P1 implementation used Payment of Gratuity Act, 1972 as the presented governing basis and wage input Last drawn Basic + DA.
- First P1 formula (retained as math, later re-labelled): $\text{qualifyingYears} = \text{completedYears} + (\text{additionalMonths} > 6 ? 1 : 0)$; $\text{uncapped} = \text{wages} \times 15 \times \text{years} / 26$; $\text{statutory} = \min(\text{uncapped}, \text{Rs } 20,00,000)$.
- Exactly 6 additional months did not add a year; 4 years 7 months could become 5 qualifying years for 15/26 math but remained ineligible under the general five-year rule.
- Do not rewrite that first report as if Code on Social Security, 2020 was already the visitor-facing governing basis.

4. Current-Rule Audit Findings

No standalone current-rule audit file was found. Findings combine Phase 1, the first P1 correction report, the labour-code correction, and the read-only ceiling verification.

P0	Phase 1: ceiling not applied at high salaries while an Act was cited - material correctness issue.
P1	First P1 report: monthly-rated 15/26 formula, >6-month qualifying year, five-year eligibility on completed years, Rs 20 lakh cap, death/disablement disclaimer, better-terms disclaimer.
P1	Labour-code correction: current basis is Code on Social Security, 2020 from 21 November 2025. Wage input became Last drawn statutory wages. 1972 Act is historical context for continuing 15/26 and >6-month rules only.
P0	Ceiling verification (read-only): CURRENT POST-21.11.2025 CEILING NOT DEFINITELY VERIFIED as a fresh Gazette notification under section 53(3). Ministry FAQ describes Rs 20 lakh; S.O. 1420(E) 29 March 2018 is the earlier Act notification. Section 164(2)(a) savings were noted. CTO decision: retain Rs 20 lakh as the ceiling used in this estimate, not as "the current notified ceiling under the Code".

Uncertainties preserved from the review

- NOT DEFINITELY VERIFIED: a fresh Gazette notification under section 53(3) specifically re-notifying Rs 20 lakh after 21.11.2025 was not located.
- The Rs 20 lakh amount is time-sensitive and should be rechecked if Government notifications change.
- Labour-code wage definition (allowance add-back) is not reconstructed by the calculator; the visitor supplies statutory wages.

5. Authoritative Basis

The sources below were used during the completed review. This section is a record of that review. It is not a fresh regulatory reinterpretation.

Ministry of Labour & Employment / Government of India - Code on Social Security, 2020 - section 53(3) (gratuity shall not exceed such amount as may be notified); section 164 repeal/savings
 Dates: Code modelled as effective 21 November 2025
 URL: https://labour.gov.in/sites/default/files/ss_code_gazette.pdf
 Supported: Current governing statute for the final calculator positioning; ceiling amount is by notification, not a rupee figure in s.53(3).

Gazette of India - S.O. 1420(E), 29 March 2018 - Rs 20 lakh under the earlier Payment of Gratuity Act, 1972
 Dates: 29 March 2018
 URL: Not re-opened as a Gazette PDF in the retained archive extracts; cited in the ceiling-verification report and gratuityRules.js maintainer notes
 Supported: Historical notified ceiling used, together with Code savings and Ministry FAQ, as the basis for retaining Rs 20 lakh in the estimate.

Ministry of Labour & Employment - Post-implementation FAQ describing the maximum as currently Rs 20 lakh
 Dates: Cited in the 10 September 2026 ceiling verification
 URL: Ministry FAQ as retrieved in that verification (administrative guidance, not a s.53(3) Gazette)
 Supported: Administrative description of Rs 20 lakh; explicitly not treated as a fresh Code ceiling notification.

The ceiling verification concluded NOT DEFINITELY VERIFIED for a fresh section 53(3) re-notification. That qualification is preserved.

6. Final Production Formula

```

qualifyingYears = completedYears + (additionalMonths > 6 ? 1 : 0)
uncappedGratuity = lastDrawnStatutoryWages x 15 x qualifyingYears / 26
statutoryGratuity = min(uncappedGratuity, Rs 20,00,000)
eligibleUnderGeneralRule = completedYears >= 5
estimatedGratuity = statutoryGratuity if eligible; otherwise no payable amount is shown

```

Variables

Variable	Meaning
lastDrawnStatutoryWages	Visitor-entered monthly wage amount applicable for gratuity under the current labour-code wage definition
completedYears	Whole completed years of service (0-40 in the UI)
additionalMonths	Additional months 0-11; exactly 6 does not add a qualifying year
qualifyingYears	Formula years for 15/26 math; not the eligibility test
Rs 20,00,000	Ceiling used in this estimate; time-sensitive; not labelled as a current notified Code ceiling

Timing and method assumptions

- Monthly-rated employee formula only.
- Eligibility uses completed years, not qualifying years.
- Framework effective date modelled: 21 November 2025.

7. Final Rules / Assumptions

Material production assumptions are classified below. Statutory / official rule is distinguished from a FOINWI product assumption and from an illustrative user-editable assumption.

Class	Assumption
STATUTORY / OFFICIAL RULE	Code on Social Security, 2020 is the current governing basis presented after the labour-code correction.
STATUTORY / OFFICIAL RULE	Monthly-rated 15/26 formula and part in excess of six months for qualifying service continue as modelled.
STATUTORY / OFFICIAL RULE	General ordinary-exit five-year continuous-service condition for the displayed amount.
FOINWI PRODUCT ASSUMPTION	Rs 20 lakh is the ceiling used in this estimate, retained after a NOT DEFINITELY VERIFIED finding on a fresh s.53(3) notification.
FOINWI PRODUCT ASSUMPTION	Visitor supplies last drawn statutory wages; payroll add-back is not computed.
FOINWI PRODUCT ASSUMPTION	Death, disablement, and fixed-term paths are disclosed, not calculated.
ILLUSTRATIVE USER-EDITABLE ASSUMPTION	Wages, completed years, and additional months are visitor-entered within product limits.

8. Corrections Implemented

Correction 1

Old: Phase 1: Act cited, ceiling not applied at high salaries.

Corrected: First P1: cap at Rs 20,00,000; Basic+DA wage label; PGA 1972 positioning; 211 validator checks.

Reason: Material ceiling omission. This was an intermediate implementation, not the final governing-basis label.

Correction 2

Old: Visitor-facing basis: Payment of Gratuity Act, 1972; wage field Basic + DA.

Corrected: Code on Social Security, 2020 from 21.11.2025; Last drawn statutory wages; 1972 Act historical for 15/26 and >6-month rules only.

Reason: CTO labour-code update. Current-rule positioning.

Correction 3

Old: Risk of describing Rs 20 lakh as the current notified ceiling under the Code.

Corrected: Label: Ceiling used in this estimate. Supporting copy states the amount is time-sensitive. Legal note: s.53(3) + s.164(2)(a) savings + 2018 notification + Ministry FAQ.

Reason: Ceiling verification: NOT DEFINITELY VERIFIED as a fresh s.53(3) Gazette re-notification.

9. Deterministic Test Vectors

The vectors below were executed against the production engine in the calculator validator. No unexecuted tests are listed.

Inputs	Expected	Actual / validated	Result
Rs 50,000, 5y 0m	Qualifying 5; estimated Rs 1,44,230.77	Rs 1,44,230.77 (first P1 report)	PASS
10y 6m	Qualifying 10	10	PASS
10y 7m	Qualifying 11	11	PASS
10y 11m	Qualifying 11	11	PASS
4y ordinary exit	Not eligible; estimated null	null / no payable amount shown	PASS
5y exactly	Eligible under the general rule	Eligible	PASS
Rs 5,00,000 x 40y	Uncapped ~Rs 1.15 cr; statutory Rs 20,00,000	Rs 20,00,000	PASS
Zero / invalid wages	Rs 0; no NaN / Infinity	Finite nonnegative	PASS

10. Validation Evidence

Check	Recorded result
validate:gratuity (first P1 correction report)	Passed 211 checks
validate:calculators	Passed
validate:trust	Passed 32 checks
validate:hardening	Passed 15 checks
lint	Passed

build

Passed

Test limitations

- 211 checks are from the first P1 report (PGA 1972 / Basic+DA era). Labour-code and ceiling-wording follow-ups kept the engine tests and updated copy/rules; a separate post-wording check-count log was not retained as a different number.
- Browser click-through was not recorded as a completed check in the retained gratuity reports.

11. Remaining Limitations

This section is mandatory. It records what this calculator deliberately does not model. It protects FOINWI from overclaiming.

- Monthly-rated employee only.
- Ordinary retirement / resignation / superannuation only.
- Seasonal, piece-rated, forfeiture, nomination, and contract-enhanced formulas are not modelled.
- Death / disablement is a disclaimer, not a separate calculation path.
- Fixed-term employment is not modelled.
- Continuous-service adjudication is not modelled.
- Payroll statutory-wage reconstruction is not modelled.
- Ceiling amount is time-sensitive and not claimed as a freshly verified s.53(3) notification.

12. Trust & User-Communication Standard

- Educational / simplified statutory estimate language.
- Wage helper: may differ from Basic + DA where statutory allowance-add-back rules apply.
- Five-year general rule disclosed; death/disablement not calculated.
- Better terms may apply under award, agreement or employment contract.
- Ceiling labelled as used in this estimate; time-sensitive; not "current notified Code ceiling".

13. Architecture

```

UI (GratuityCalculator.jsx)
|
central rules (gratuityRules.js)
|
production engine (gratuityEngine.js -> calculateGratuityEstimate)
|
results

validator (validateGratuity.js)
|
same production engine
  
```

- Validation imports calculateGratuityEstimate / qualifying-year helpers rather than reimplementing 15/26.

14. Change Record

Calculator

Gratuity Calculator

Audit date	10 September 2026 (Phase 1 inventory; P1 implementation; labour-code correction and ceiling verification the same day)
Correction date	10 September 2026, 02:36:10 IST
Final Git commit hash	6e70e58f5c7725c3412edbc5e0d6d1d30407984e
Commit message	Correct gratuity calculator for current labour code
Branch	main
Relevant production files	src/utls/gratuity/gratuityRules.js; src/utls/gratuity/gratuityEngine.js; src/components/GratuityCalculator.jsx; scripts/validateGratuity.js; scripts/validateAllCalculators.js; package.json (validate:gratuity); src/data/calculatorInsights.js; src/data/calculatorExplains.js; src/data/calculators.js
Validator	scripts/validateGratuity.js
Validation command	npm run validate:gratuity

Final Git commit 6e70e58 verified from git log. Message records the labour-code correction as the production checkpoint.

15. Final Status

FOINWI INTERNAL PRODUCT ACCURACY STATUS

Checkpoint	Status
Current-rule audit completed	NO - standalone current-rule audit not in workspace
Correction completed	YES
Production engine validated	YES
Regression checks passed	YES - as recorded in the first P1 report
Known limitations documented	YES

Status reflects the rules, assumptions, sources and production checkpoint documented in this record. Regulatory and statutory requirements may change after the recorded review date.

This record does not state that the calculator is 100% legally accurate, permanently compliant, government certified, or error-free forever.